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CREATED 'AS ON DATE'

Whenever creating balance sheets, we need to know that it is created as per the 'as-on' date. This means if we are creating a balance sheet on 31st March, we will write down all the assets and liabilities that we have on that very day. If we sell an asset on 1st April, that will in no manner impact the balance sheet created on 31st March.

So, we can create a balance sheet on any particular day i.e. 31st March, 6th May, 18th December and it will be based on what we own and owe on that particular day. Ideally, we will be creating and updating our balance sheet every 6 months and comparing it to the previous ones.

Balance Sheet as on 31-03-20

Liabilities	Assets

Balance Sheet as on 15-06-20

Liabilities	Assets

Balance sheets reflect the financial health as on one particular date and not a period of time. The two adjacent balance sheets only reflect the status of 31 March & 15 June. Transactions that took place on 14 April will not be reflected in either of them

31 March 2020

14 April 2020

15 June 2020

CONTINGENT ITEMS

Contingent items are those assets and liabilities that materialize based on the occurrence of a future event i.e. it is conditional or reliant on a future event. So, currently, we are not sure whether we have the asset/liability or not. In such a situation, while listing the balance sheet items, we need to question whether it should be counted or not.

We have two categories under contingent items i.e. contingent assets and contingent liabilities. Let us decode these, one at a time.

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